



PROCESS RISK

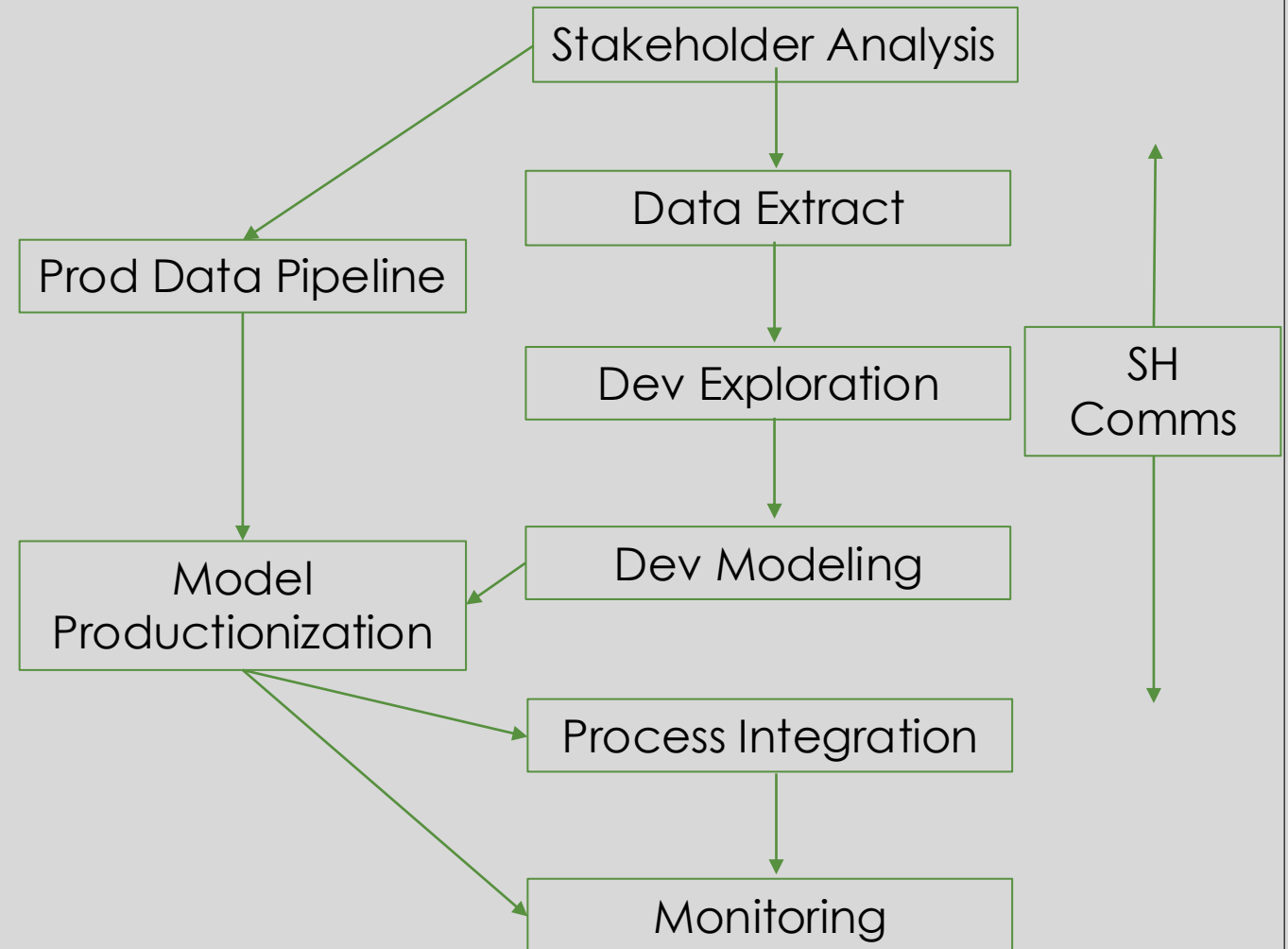
Paul Speaker

Elements of Process Map

- Stakeholder Analysis
 - Understanding need for value creation and form of final result
- Data Extract—getting data for exploration and dev modeling
- Data Pipeline—Data in preparation for productionization
- Dev Exploration—getting to understand the data from both a statistical and business perspective
- Stakeholder Communications—keeping stakeholder informed of work, resolve questions, preserving buy-in
- Dev Modeling—Finding the best model for the data as it is
- Productionization—turning the data pipeline and the modeling into a reliable, usable model, as well as creating UI
- Process Integration—create a block in the business process, ensuring modeling is used, user education
- Monitoring—for model performance, usage, user feedback, modification

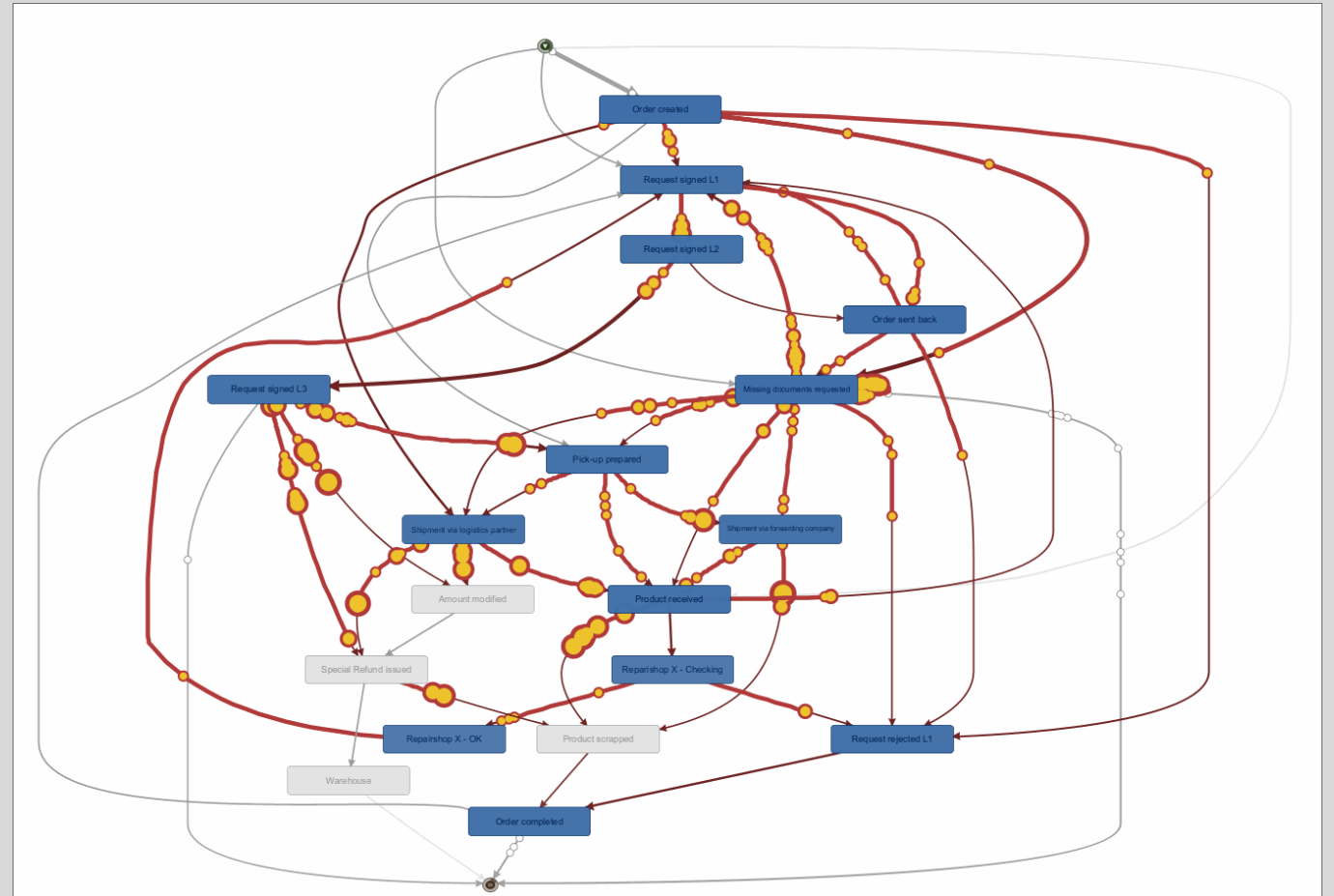
Process Map for Demand Forecasting

- This is a simplified map
- Which numbers matter?
- Hours vs. Days
 - Hours = time expended on work
 - Days = time to completion
- Hours are important for balancing vs. other projects
- Days are important for setting expectations with clients



Process Mining

- What we have been talking about is a special case of **process mining**
- Process mining is the rigorous analysis of a process with the goal of ultimately improving processes
- Finite resources—have to improve what is most important



Time Estimates

- How do you form time estimates for project steps?
 - Experience
 - Talking with people familiar with a case
- Have to incorporate uncertainty in the estimates
- What shape?
 - Normal
 - Poisson
 - Exponential
 - Triangular
- Not ideal, but allows you to break beyond point estimates (and figure out what is important)